# Capital Plan: Sources and Uses

**Property:** _____ **Date:** _____

Part A: Before you fall for anything.

Takes in: price, capex bids, reserve target.

Hands to: AS-16, AS-19.

The purchase price is the smallest check you write. This page totals the rest.

## 1. Sources: where the money comes from

| Source | Amount ($) | Terms |
|---|---|---|
| Down payment (your cash) | | |
| Lender debt | | Rate, term, payment |
| Seller note | | Rate, term, balloon date |
| Other | | |
| TOTAL SOURCES | | |

## 2. Uses: where the money goes

| Use | Budget ($) | Due when |
|---|---|---|
| Purchase price | | At closing |
| Closing costs | | At closing |
| Diligence costs (inspections, survey, phase 1) | | Before EMD goes hard |
| Immediate capex (first 90 days) | | After closing |
| Reserves | | Funded at closing |
| Working capital | | First 6 months |
| TOTAL USES | | |

**Total uses must equal total sources. If uses are bigger, you are underfunded on day one.**

## 3. First-year cash runway

**Cash after closing ($):** _____ **Monthly collections ($):** _____ **Monthly costs ($):** _____

Runway (months) = cash left after closing / (monthly costs minus monthly collections). If collections cover costs, your runway is the reserve line above.

Rule of thumb, verify locally: hold at least 6 months of operating costs in reserve after closing.

Running out of cash in year one is a common way first deals fail.

## 4. Stress tests: run all four before you sign

- [ ] Occupancy drops 10 points for 6 months. The loan payment still gets made.
- [ ] A $25,000 sewer repair lands in month 3. You know exactly which account pays for it.
- [ ] Insurance quotes come back double the seller's number. Re-run the runway with the real number.

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- [ ] The seller note balloons and you cannot refinance. Your day-one plan for that date is written down.

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## Worked example: Maple Bend Estates (fictional)

Fictional buyer, fictional close, real arithmetic. Seeds: price $925,000 (the offer rung from AS-07), loan $647,500 (70% LTV, 7.5%, 25 years, annual debt service $57,420), deposits $189,000, normalized expenses $112,530. All derived numbers show their math.

| Sources | Amount ($) |
|---|---|
| Down payment (925,000 x 0.30) | 277,500 |
| Lender debt (925,000 x 0.70) | 647,500 |
| Cash for costs, capex, reserves (see Uses) | 156,015 |
| TOTAL SOURCES | 1,081,015 |

| Uses | Amount ($) |
|---|---|
| Purchase price | 925,000 |
| Closing costs, 3% of price (925,000 x 0.03) | 27,750 |
| Diligence costs (under the $15,000 sunk cap) | 12,000 |
| Immediate capex, first 90 days (fictional) | 40,000 |
| Reserves, 6 months of normalized costs (112,530 / 12 x 6) | 56,265 |
| Working capital (fictional) | 20,000 |
| TOTAL USES | 1,081,015 |

Sources equal uses: $1,081,015 = $1,081,015. Balanced on paper before a dollar moves.

### Runway, checked

Total buyer cash: 277,500 + 156,015 = $433,515. Cash after closing: 56,265 + 20,000 = $76,265. Monthly costs: 9,377.50 operating (112,530 / 12) + 4,784.97 debt service = $14,162.47. Monthly collections: 15,750 (189,000 / 12). Collections cover costs by $1,587.53, so the runway is the reserve line: 6 months.

### Stress test, checked

Occupancy down 15 points, the same basis as the lender stress in AS-16: revenue 189,000 x 34/41 = $156,732, so collections are 156,732 / 12 = $13,060.98 a month against costs of $14,162.47: short $1,101.49 a month. Cash after closing ($76,265) covers roughly 69 months of that shortfall (76,265 / 1,101.49 = 69.2). The deal absorbs the stress and keeps paying the loan.

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## The Doctrine

The belief this page shatters is that the purchase price is the deal. The purchase price is the smallest check you write. The real deal is the total cash the park demands before it pays you a dollar: closing, diligence, first-90-day capex, six months of reserves, working capital. Budget the price and wing the rest, and you run out of cash in year one, the most common way first deals fail. The one rule: sources equal uses on paper before a dollar moves, and the reserve line holds six months of operating costs, rule of thumb, verify locally. The rite of passage is the first time you walk away from a park you love because the capital plan does not fund.

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